QUARTERLY INVESTOR REPORT

Gatewood Apartments | Aurora, CO

Investment	Gatewood Apartments
Quarter	2Q 2020
Report Date	December 16, 2021
Sponsor	Whitfield Park Capital
Occupancy	92.7%

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 12.9% annually with renewal retention above 90.5%. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 12.9% annually with renewal retention above 89.9%. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. Projected levered IRR is 8.8% with an equity multiple of 1.5x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Collections for the period were 94.2% of billed charges, with bad debt of 6.4% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members.

Resident turnover has averaged 2.4% annually with renewal retention above 93.8%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day.

Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 9.0% annually with renewal retention above 91.9%. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

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Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 4.8% annually with renewal retention above 89.7%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet.

Projected levered IRR is 10.4% with an equity multiple of 1.44x over the hold period. Resident turnover has averaged 2.4% annually with renewal retention above 92.4%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Property Operations

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 42 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Service requests are tracked through a work-order system with an average completion time of 38 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investor Distributions

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 8.9% annually with renewal retention above 95.3%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.1% with an equity multiple of 1.14x over the hold period.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 3.6% with an equity multiple of 1.31x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital.

Leasing and Marketing

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.3% annually with renewal retention above 93.9%.

Service requests are tracked through a work-order system with an average completion time of 38 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 5.7% annually with renewal retention above 93.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investment Overview

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 6.9% with an equity multiple of 1.28x over the hold period.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	02/16/25	Q4 2025	$176,000	$115,763	In progress
Signage / monument	Interior	12/11/23	Q3 2025	$494,000	$291,831	Deferred
Fence replacement	Building	02/13/23	Q3 2027	$859,000	$450,908	Complete
Exterior paint	Interior	04/14/24	Q4 2027	$752,000	$750,164	In progress
Door hardware	Life Safety	02/13/25	Q3 2027	$836,000	$721,623	In progress
Water heater replacement	Life Safety	01/02/26	Q3 2026	$90,000	$87,400	Bidding
Exterior paint	Life Safety	04/13/26	Q1 2025	$682,000	$290,574	Deferred
Signage / monument	Site	02/11/23	Q3 2027	$858,000	$336,758	In progress
Pool resurfacing	Site	11/24/25	Q4 2026	$515,000	$261,146	Complete
Unit interior upgrades	Interior	07/05/26	Q1 2025	$333,000	$289,600	Deferred
Amenity renovation	Life Safety	02/14/24	Q2 2026	$56,000	$13,456	Complete
Sewer line repair	Life Safety	07/03/26	Q4 2025	$862,000	$863,813	Complete
Exterior paint	Interior	03/15/24	Q4 2026	$138,000	$19,571	Bidding
Landscape / irrigation	Building	05/08/25	Q3 2027	$41,000	$2,308	Approved
Storefront glazing	Interior	05/18/23	Q1 2025	$155,000	$73,812	Approved
Elevator modernization	Building	11/13/26	Q2 2026	$103,000	$28,154	In progress
Lobby renovation	Energy	02/08/24	Q1 2025	$460,000	$105,965	Complete
Elevator modernization	Energy	01/09/26	Q1 2026	$355,000	$89,081	Complete
Lobby renovation	Site	01/28/23	Q4 2026	$812,000	$474,803	Bidding
Security camera upgrade	Interior	06/15/25	Q1 2027	$459,000	$193,988	Approved
Storefront glazing	Site	04/24/24	Q3 2026	$658,000	$571,048	Approved
HVAC replacement	Site	08/12/23	Q4 2026	$445,000	$170,086	Bidding
Lobby renovation	Energy	01/25/23	Q2 2025	$579,000	$186,621	Approved
Pool resurfacing	Building	06/24/25	Q2 2026	$900,000	$75,356	Deferred
Fence replacement	Building	04/01/25	Q3 2025	$181,000	$184,497	Bidding
ADA compliance	Life Safety	06/25/26	Q4 2026	$130,000	$38,558	In progress
Roof replacement - Bldg C	Site	01/01/26	Q4 2027	$155,000	$102,900	In progress
Storefront glazing	Energy	07/08/24	Q2 2027	$115,000	$97,213	Complete
Fence replacement	Energy	04/30/25	Q4 2025	$743,000	$373,442	Bidding
Parking lot resurfacing	Life Safety	10/27/26	Q3 2026	$834,000	$584,406	Deferred
LED lighting retrofit	Site	09/24/26	Q1 2025	$313,000	$259,964	Approved
Fire alarm panel upgrade	Life Safety	12/09/25	Q4 2027	$416,000	$235,678	Approved
Storefront glazing	Life Safety	02/24/24	Q1 2025	$117,000	$97,185	In progress
Signage / monument	Site	03/30/23	Q4 2025	$271,000	$65,879	Approved
Landscape / irrigation	Interior	09/29/25	Q1 2025	$766,000	$441,595	In progress
Roof replacement - Bldg D	Interior	06/07/26	Q4 2026	$442,000	$171,158	In progress
ADA compliance	Interior	09/24/24	Q4 2025	$686,000	$683,065	Deferred
Roof replacement - Bldg B	Building	08/03/24	Q3 2025	$726,000	$2,384	In progress
Elevator modernization	Life Safety	10/08/26	Q2 2026	$870,000	$679,607	Complete
Pool resurfacing	Site	09/12/23	Q4 2027	$567,000	$328,468	Complete
Pool resurfacing	Building	01/22/25	Q3 2025	$704,000	$659,431	Approved
Fence replacement	Site	12/09/24	Q2 2026	$181,000	$56,062	In progress

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 6.10% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 8.5% annually with renewal retention above 95.4%. Operating expenses totaled $204,000 or approximately 11.71 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $188,000, representing a 2.8% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.88% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $469,000 or approximately 36.18 per square foot, with real estate taxes representing the largest line item.

Market Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 4.4% annually over the past 8 years.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Gatewood Apartments is located in Aurora, CO, a market that has recorded 11.1% population growth over the last five years.

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $279,000, representing a 9.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Resident turnover has averaged 6.4% annually with renewal retention above 91.3%. The going-in capitalization rate of 7.84% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.61x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Operating expenses totaled $41,000 or approximately 8.15 per square foot, with real estate taxes representing the largest line item.

Market Overview

Rent growth in the submarket has averaged 4.0% annually over the past 3 years. The Aurora Multifamily market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Resident turnover has averaged 3.2% annually with renewal retention above 95.0%. Median household income within a 8-mile radius of the property is approximately $468,000 and has grown 11.3% annually.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The Aurora Multifamily market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Financial Analysis

Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $126,000, representing a 3.7% increase over the prior year. Operating expenses totaled $173,000 or approximately 6.32 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.38x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$96,585	$92,871	$97,569	$984	1.0%	$701.94
5010 Loss to Lease	$148,218	$157,214	$164,856	$16,638	11.2%	$1,186.01
5020 Vacancy Loss	$140,005	$145,025	$148,306	$8,301	5.9%	$1,066.95
5030 Concessions	$184,145	$196,116	$200,418	$16,273	8.8%	$1,441.85
5040 Bad Debt	$72,642	$76,549	$78,282	$5,640	7.8%	$563.18
5050 Late Fees	$201,401	$196,334	$203,178	$1,777	0.9%	$1,461.72
5060 Utility Reimbursements	$185,516	$194,644	$204,143	$18,627	10.0%	$1,468.65
5070 Parking Income	$193,909	$184,830	$187,365	-$6,544	-3.4%	$1,347.95
5080 Application Fees	$171,127	$180,668	$192,450	$21,323	12.5%	$1,384.53
5090 Pet Rent	$45,531	$48,850	$51,070	$5,538	12.2%	$367.41
5100 Laundry Income	$215,189	$215,271	$217,430	$2,242	1.0%	$1,564.25
5110 Cable/Internet Revenue	$42,778	$40,402	$42,189	-$589	-1.4%	$303.52
5120 CAM Reimbursements	$200,714	$210,684	$213,590	$12,876	6.4%	$1,536.62
5130 Tax Reimbursements	$172,526	$159,202	$167,885	-$4,641	-2.7%	$1,207.80
5140 Insurance Reimbursements	$222,037	$232,505	$242,981	$20,944	9.4%	$1,748.07
5150 Percentage Rent	$230,433	$248,390	$252,197	$21,764	9.4%	$1,814.37
5160 Misc. Income	$93,738	$95,289	$96,206	$2,468	2.6%	$692.13
5170 Payroll - Management	$27,184	$26,283	$27,061	-$123	-0.5%	$194.69
5180 Payroll - Leasing	$179,025	$175,523	$177,518	-$1,506	-0.8%	$1,277.11
5190 Payroll - Maintenance	$90,895	$93,419	$95,185	$4,290	4.7%	$684.78
5200 Payroll Taxes & Benefits	$213,403	$200,959	$205,940	-$7,462	-3.5%	$1,481.59
5210 Repairs - Plumbing	$230,929	$213,000	$225,341	-$5,588	-2.4%	$1,621.16
5220 Repairs - HVAC	$253,152	$245,436	$255,206	$2,054	0.8%	$1,836.02
5230 Repairs - Electrical	$122,127	$130,273	$130,640	$8,513	7.0%	$939.86
5240 Repairs - Appliances	$132,666	$133,178	$142,428	$9,762	7.4%	$1,024.66
5250 Painting & Decorating	$198,547	$196,397	$208,193	$9,646	4.9%	$1,497.79
5260 Flooring	$178,356	$176,783	$184,519	$6,163	3.5%	$1,327.48
5270 Make-Ready / Turnover	$82,087	$80,459	$81,369	-$718	-0.9%	$585.39
5280 Landscaping Contract	$68,538	$65,412	$68,347	-$191	-0.3%	$491.71
5290 Snow Removal	$231,281	$230,799	$232,042	$761	0.3%	$1,669.37
5300 Janitorial	$236,975	$234,887	$249,316	$12,341	5.2%	$1,793.64
5310 Pest Control	$237,011	$223,832	$226,982	-$10,029	-4.2%	$1,632.97
5320 Trash Removal	$224,009	$222,102	$233,527	$9,518	4.2%	$1,680.05
5330 Elevator Contract	$71,690	$70,428	$72,560	$870	1.2%	$522.01
5340 Fire & Life Safety	$36,542	$35,166	$37,594	$1,052	2.9%	$270.46
5350 Security	$17,147	$15,780	$15,809	-$1,338	-7.8%	$113.73
5360 Electricity - Common	$205,572	$195,905	$208,479	$2,907	1.4%	$1,499.85
5370 Gas - Common	$211,521	$194,954	$206,806	-$4,715	-2.2%	$1,487.82
5380 Water & Sewer	$249,669	$265,850	$279,402	$29,732	11.9%	$2,010.08
5390 Telephone/Internet	$251,785	$265,326	$279,454	$27,669	11.0%	$2,010.46
5400 Advertising	$194,882	$199,613	$209,276	$14,394	7.4%	$1,505.58
5410 Resident Events	$162,982	$165,319	$171,213	$8,231	5.1%	$1,231.75
5420 Office Supplies	$175,281	$176,120	$176,819	$1,537	0.9%	$1,272.08

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Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 6.6% with an equity multiple of 1.16x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 4.0% with an equity multiple of 1.36x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Resident turnover has averaged 9.0% annually with renewal retention above 89.0%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Collections for the period were 96.6% of billed charges, with bad debt of 5.6% of gross potential income.

Resident turnover has averaged 11.7% annually with renewal retention above 94.8%. Service requests are tracked through a work-order system with an average completion time of 35 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Collections for the period were 93.8% of billed charges, with bad debt of 7.3% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 4.3% annually with renewal retention above 96.6%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital.

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Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Resident turnover has averaged 11.1% annually with renewal retention above 91.1%.

Investment Overview

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